

1

Accounting in Action

Learning Objectives

1

Identify the activities and users associated with accounting.

2

Explain the building blocks of accounting: ethics, principles, and assumptions.

3

State the accounting equation, and define its components.

4

Analyze the effects of business transactions on the accounting equation.

5

Describe the four financial statements and how they are prepared.

Identify the activities and users associated with accounting.

Accounting consists of three basic activities—it

- ◆ identifies,
- ◆ records, and
- ◆ communicates

the economic events of an organization to interested users.

Three Activities

Illustration 1-1

The activities of the accounting process

Identification



Select economic events (transactions)

Recording



Record, classify, and summarize

Communication



Prepare accounting reports



Analyze and interpret for users

The accounting process includes the **bookkeeping** function.

Who Uses Accounting Data

INTERNAL USERS



Marketing

What price should **Apple** charge for an iPod to maximize the company's net income?



Snack chips



Beverages

Management

Which **PepsiCo** product line is the most profitable? Should any product lines be eliminated?



Finance

Is cash sufficient to pay dividends to **Microsoft** stockholders?



Human Resources

Can **General Motors** afford to give its employees pay raises this year?

Illustration 1-2

Questions that internal users ask

Accounting Across the Organization

Rhino Foods



© Agnieszka Pastuszek-Maksim/iStockphoto

The Scoop on Accounting

Accounting can serve as a useful recruiting tool even for the human resources department. **Rhino Foods**, located in Burlington, Vermont, is a manufacturer of specialty ice cream. Its corporate website includes the following:

"Wouldn't it be great to work where you were part of a team? Where your input and hard work made a

difference? Where you weren't kept in the dark about what management was thinking? . . . Well—it's not a dream! It's the way we do business . . . Rhino Foods believes in family, honesty and open communication—we really care about and appreciate our employees—and it shows. Operating results are posted and monthly group meetings inform all employees about what's happening in the Company. Employees also share in the Company's profits, in addition to having an excellent comprehensive benefits package."

Source: www.rhinofoods.com/workforus/workforus.html.

What are the benefits to the company and to the employees of making the financial statements available to all employees? (Go to **WileyPLUS** for this answer and additional questions.)

Who Uses Accounting Data

EXTERNAL USERS



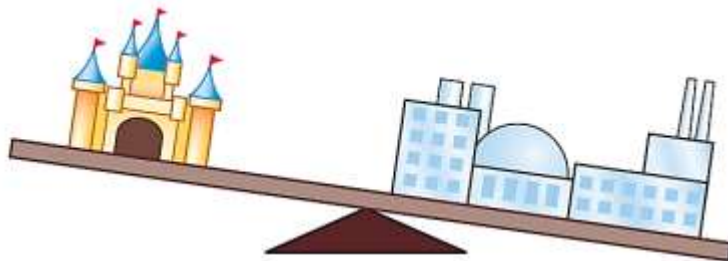
Investors

Is **General Electric** earning satisfactory income?



Creditors

Will **United Airlines** be able to pay its debts as they come due?



Investors

How does **Disney** compare in size and profitability with **Time Warner**?

Illustration 1-3
Questions that external
users ask

Indicate whether the following statements are **true or false**.

1. The three steps in the accounting process are identification, recording, and communication.
2. Bookkeeping encompasses all steps in the accounting process.
3. Accountants prepare, but do not interpret, financial reports.
4. The two most common types of external users are investors and company officers.
5. Managerial accounting activities focus on reports for internal users.

Solution: 1. True 2. False 3. False 4. False 5. True

Ethics in Financial Reporting

Some big companies like Enron, WorldCom, HealthSouth, AIG, and others were involved in financial scandals.

→ They lied about their financial reports to look more successful than they really were.

Because of these scandals, investors started losing trust in company financial reports.

→ If investors don't trust companies, they stop investing.

→ This can hurt the whole economy.

To fix this problem, the U.S. Congress created a law called the Sarbanes-Oxley Act (SOX).

→ This law makes companies follow strict rules so their financial reports are honest and reliable.

→ It also gives punishment for cheating or lying in reports.

Good financial reporting depends on ethical behavior, meaning:

→ Accountants and managers must be honest,

→ follow rules,

→ and not hide or change information to mislead people.

Ethics in Financial Reporting

1. Recognize an ethical situation and the ethical issues involved.

Use your personal ethics to identify ethical situations and issues. Some businesses and professional organizations provide written codes of ethics for guidance in some business situations.

2. Identify and analyze the principal elements in the situation.

Identify the **stakeholders**—persons or groups who may be harmed or benefited. Ask the question: What are the responsibilities and obligations of the parties involved?

3. Identify the alternatives, and weigh the impact of each alternative on various stakeholders.

Select the most ethical alternative, considering all the consequences. Sometimes there will be one right answer. Other situations involve more than one right solution; these situations require an evaluation of each and a selection of the best alternative.



Illustration 1-4
Steps in analyzing ethics cases
and situations

Ethics in Financial Reporting (Easy Version)

1. Notice when something feels wrong or unethical

Use your own sense of right and wrong to see when there might be a problem. Companies and professional groups also have written rules that can help you decide what is ethical in business situations.

2. Identify and understand the main people involved

Find out who the stakeholders are – the people or groups who could be helped or hurt by the decision.

Ask yourself:

Who will be affected?

What responsibilities does each person have?

3. Think of different choices and how each choice affects others

Look at all the possible options and think about their consequences. Choose the option that is most ethical – the one that causes the least harm and follows good values.

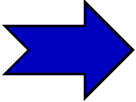
Sometimes the right choice is clear.

Other times, you have more than one possible good solution – then you must compare them and choose the best one.

Ethics in Financial Reporting

Question

Ethics are the standards of conduct by which one's actions are judged as:

- a. right or wrong.
- b. honest or dishonest.
- c. fair or not fair.
-  d. all of these options.



Gemunu Amarasinghe/AP Photo

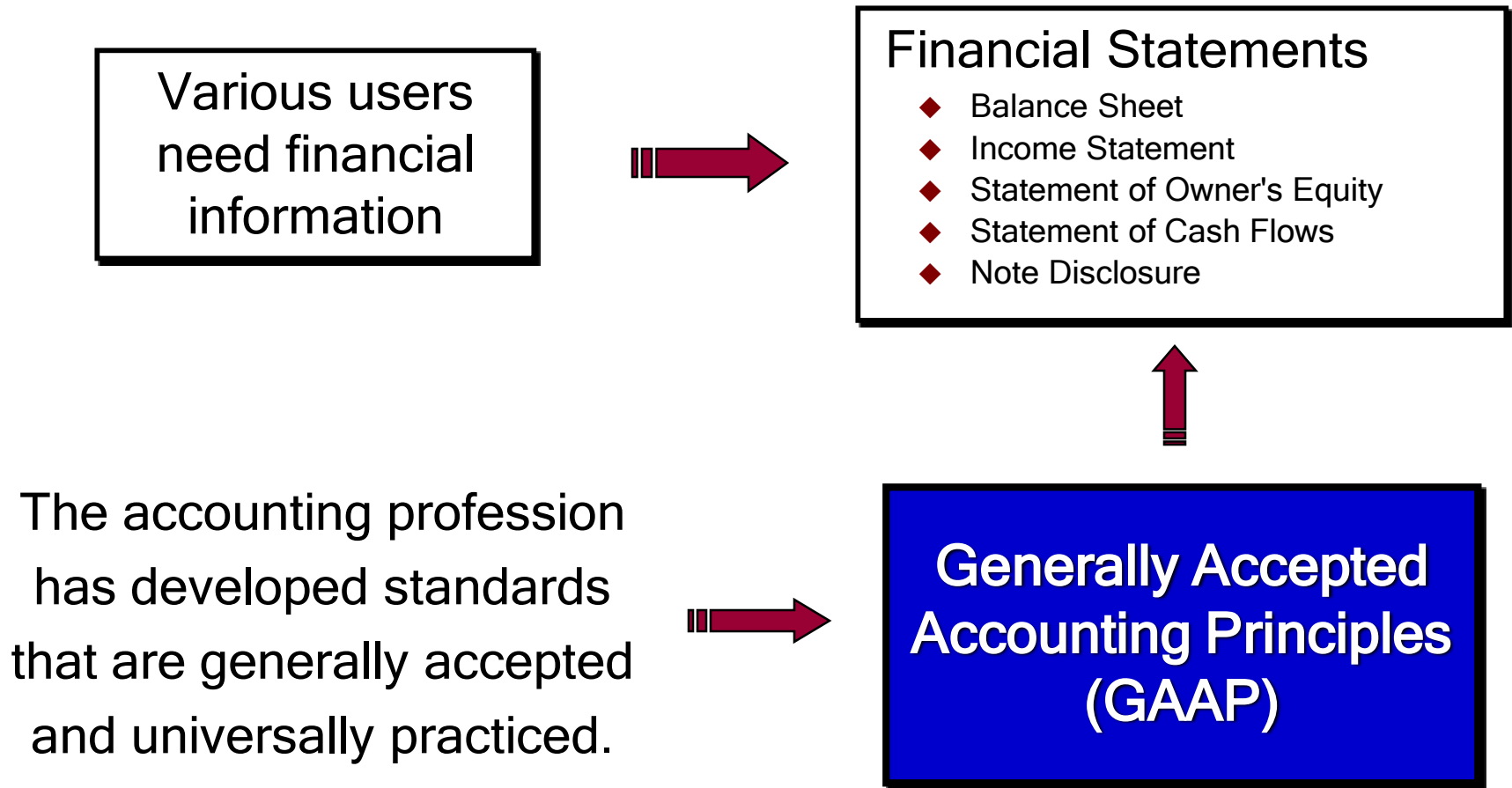
The Numbers Behind Not-for-Profit Organizations

Accounting plays an important role for a wide range of business organizations worldwide. Just as the integrity of the numbers matters for business, it matters at least as much at not-for-profit organizations. Proper control and reporting help ensure that money is used the way donors intended.

Donors are less inclined to give to an organization if they think the organization is subject to waste or theft. The accounting challenges of some large international not-for-profits rival those of the world's largest businesses. For example, after the Haitian earthquake, the Haitian-born musician Wyclef Jean was criticized for the poor accounting controls in a relief fund that he founded. In response, he hired a new accountant and improved the transparency regarding money raised and spent.

What benefits does a sound accounting system provide to a not-for-profit organization? (Go to **WileyPLUS** for this answer and additional questions.)

Generally Accepted Accounting Principles



Generally Accepted Accounting Principles

Generally Accepted Accounting Principles (GAAP) - Standards that are generally accepted and universally practiced. These standards indicate how to report economic events.

Standard-setting bodies:

- ▶ Financial Accounting Standards Board (FASB)
- ▶ Securities and Exchange Commission (SEC)
- ▶ International Accounting Standards Board (IASB)

International Note



Over 100 countries use International Financial Reporting Standards (called IFRS). For example, all companies in the European Union follow international standards. The differences between U.S. and international standards are not generally significant.

Measurement Principles

HISTORICAL COST PRINCIPLE (or cost principle)

Companies must record an asset at the price they originally paid for it, not the current market price

FAIR VALUE PRINCIPLE Assets and liabilities should be reported at their current value – the amount you would get if you sold the asset today or the amount needed to settle (pay off) the liability today.

Selection of which principle to follow generally relates to trade-offs between **relevance** and **faithful representation**.

Helpful Hint

Relevance and faithful representation are two primary qualities that make accounting information useful for decision-making.

Assumptions

MONETARY UNIT ASSUMPTION :A company should record only things that can be measured with money.If you cannot put a money value on it, you do not record it.

ECONOMIC ENTITY ASSUMPTION A company's money and activities must be kept separate from the owner's personal money and from other businesses.

- ◆ Proprietorship
- ◆ Partnership
- ◆ Corporation



**Forms of Business
Ownership**

Forms of Business Ownership

Proprietorship

- ◆ Owned by one person
- ◆ Owner is often manager/operator
- ◆ Owner receives any profits, suffers any losses, and is personally liable for all debts

Partnership

- ◆ Owned by two or more persons
- ◆ Often retail and service-type businesses
- ◆ Generally unlimited personal liability
- ◆ Partnership agreement

Corporation

- ◆ Ownership divided into shares of stock
- ◆ Separate legal entity organized under state corporation law
- ◆ Limited liability

Forms of Business Ownership

Proprietorship

A proprietorship is a business owned and controlled by a single person. The owner provides the capital, manages daily operations, and receives all the profits. However, the owner has unlimited liability, which means personal assets can be used to pay business debts.

Partnership

A partnership is a business owned by two or more individuals who agree to share profits, losses, and management responsibilities. The agreement among partners is usually written in a partnership deed. Partners generally have unlimited liability, meaning each partner may be responsible for the firm's debts.

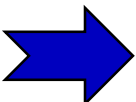
Corporation

A corporation is a legally separate entity from its owners, known as shareholders. It can own property, enter into contracts, and be sued in its own name. Shareholders have limited liability, so their personal assets are protected. Corporations can raise large amounts of capital by issuing shares and are managed by a board of directors. They require strict legal formalities and government regulation.

Assumptions

Question

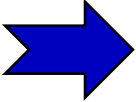
Combining the activities of Kellogg and General Mills would violate the

- a. cost principle.
-  b. economic entity assumption.
- c. monetary unit assumption.
- d. ethics principle.

Assumptions

Question

A business organized as a separate legal entity under state law having ownership divided into shares of stock is a

- a. proprietorship.
- b. partnership.
-  c. corporation.
- d. sole proprietorship.

Indicate whether each of the following statements presented below is **true** or **false**.

1. Congress passed the Sarbanes-Oxley Act to reduce unethical behavior and decrease the likelihood of future corporate scandals.
2. The primary accounting standard-setting body in the United States is the Financial Accounting Standards Board (FASB).
3. The historical cost principle dictates that companies record assets at their cost. In later periods, however, the fair value of the asset must be used if fair value is higher than its cost.

True**True****False**

Indicate whether each of the following statements presented below is **true** or **false**.

4. Relevance means that financial information matches what really happened; the information is factual.
5. A business owner's personal expenses must be separated from expenses of the business to comply with accounting's economic entity assumption.

False**True**

State the accounting equation, and define its components.

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Owner's Equity}}$$

Basic Accounting Equation

- ◆ Provides the **underlying framework** for recording and summarizing economic events.
- ◆ Assets are claimed by either creditors or owners.
- ◆ If a business is liquidated, claims of creditors must be paid before ownership claims.

Basic Accounting Equation

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Owner's Equity}}$$

Assets

- ◆ Resources a business owns.
- ◆ Provide future services or benefits.
- ◆ Cash, Supplies, Equipment, etc.

Assets are things a business owns that have value and can help the business in the future.

Basic Accounting Equation

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Owner's Equity}}$$

Liabilities

- ◆ Claims against assets (debts and obligations).
- ◆ Creditors (party to whom money is owed).
- ◆ Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

Liabilities are the amounts a business owes to others.

They are debts or obligations that the company must pay in the future.

Basic Accounting Equation

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Owner's Equity}}$$

Owner's Equity

- ◆ Ownership claim on total assets.
- ◆ Referred to as residual equity.
- ◆ Investment by owners and revenues (+)
- ◆ Drawings and expenses (-).

Owner's Equity is the owner's share of the business. It shows how much of the business the owner actually owns after paying all debts.

Owner's Equity

Illustration 1-6
Expanded accounting
equation

Basic Equation	Assets = Liabilities	+	Owner's Equity			
Expanded Equation	Assets = Liabilities	+	Owner's Capital	–	Owner's Drawings	+ Revenues – Expenses

Increases in Owner's Equity

- ◆ **Investments by owner** are the assets the owner puts into the business.
- ◆ **Revenues** Revenue is the income earned by a business from its main operating activities, such as selling goods or providing services
It increases the owner's equity and is recorded before deducting expenses.
 - ▶ **Common sources of revenue** are: sales, fees, services, commissions, interest, dividends, royalties, and rent.

Owner's Equity

Illustration 1-6
Expanded accounting
equation

Basic Equation	Assets = Liabilities	+	Owner's Equity			
Expanded Equation	Assets = Liabilities	+	Owner's Capital	–	Owner's Drawings	+ Revenues – Expenses

Decreases in Owner's Equity

- ◆ **Drawings** Owner's Drawing is the money or goods that the owner takes out of the business for personal use.
- ◆ **Expenses:** Expenses are the costs a business has to pay to run its activities and earn revenue.
 - ▶ **Common expenses** are: salaries expense, rent expense, utilities expense, tax expense, etc.

Classify the following items as investment by owner, owner's drawings, revenue, or expenses. Then indicate whether each item increases or decreases owner's equity.

	<u>Classification</u>	<u>Effect on Equity</u>
1. Rent Expense	Expense	Decreases
2. Service Revenue	Revenue	Increases
3. Drawings	Owner's Drawings	Decreases
4. Salaries and Wages Expense	Expense	Decreases

Analyze the effects of business transactions on the accounting equation.

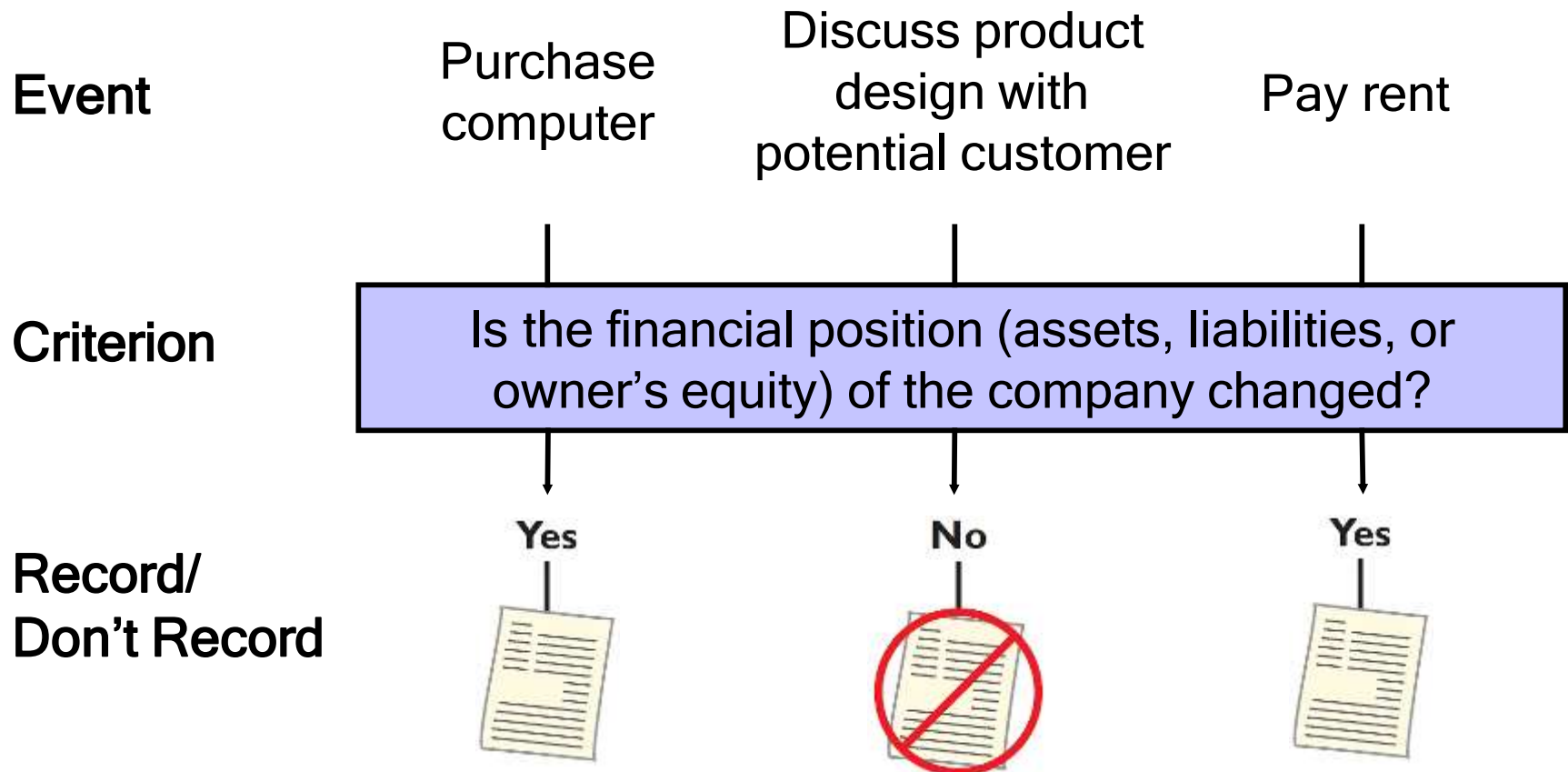
Transactions are a business's economic events recorded by accountants. A transaction is any event that changes the financial position of a business. It always involves giving something and receiving something.

- ◆ May be **external** or **internal**.
- ◆ Not all activities represent transactions.
- ◆ Each transaction has a dual effect on the accounting equation.

Transaction Analysis

Illustration: Are the following events recorded in the accounting records?

Illustration 1-7



Transaction Analysis

TRANSACTION 1. INVESTMENT BY OWNER Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2017, he invests **\$15,000 cash** in the business. This transaction results in an equal increase in assets and owner's equity.

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			

Illustration 1-8
Tabular summary of
Softbyte transactions

TRANSACTION 2. PURCHASE OF EQUIPMENT FOR CASH Softbyte Inc. purchases computer equipment for \$7,000 cash.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					

TRANSACTION 3. PURCHASE OF SUPPLIES ON CREDIT Softbyte Inc. purchases for \$1,600 headsets and other accessories expected to last several months. The supplier allows Softbyte to pay this bill in October.

Illustration 1-8		Assets				= Liabilities +	Owner's Equity			
Trans- action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000						+15,000			
2.	-7,000			+7,000						
3.			+1,600			+1,600				

>> **Supplies are items used in day-to-day operations**
(like headsets, accessories, paper, ink, etc.)

>> **Equipment means long-term assets**
(like computers, furniture, machines, tools – things used for MANY years).

TRANSACTION 4. SERVICES PERFORMED FOR CASH Softbyte Inc. receives **\$1,200 cash** from customers for app development services it has performed.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	

TRANSACTION 5. PURCHASE OF ADVERTISING ON CREDIT Softbyte Inc. receives a bill for \$250 from the *Daily News* for advertising on its online website but postpones payment until a later date.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250

TRANSACTION 6. SERVICES PERFORMED FOR CASH AND CREDIT.

Softbyte performs **\$3,500 of services**. The company receives cash of \$1,500 from customers, and it bills the balance of \$2,000 on account.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	

TRANSACTION 7. PAYMENT OF EXPENSES Softbyte Inc. pays the following expenses in cash for September: office rent **\$600**, salaries and wages of employees **\$900**, and utilities **\$200**.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200

TRANSACTION 8. PAYMENT OF ACCOUNTS PAYABLE Softbyte Inc. pays its \$250 *Daily News* bill in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable.

Illustration 1-8		Assets				= Liabilities +		Owner's Equity			
Trans- action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000						+15,000				
2.	-7,000			+7,000							
3.			+1,600			+1,600					
4.	+1,200								+1,200		
5.						+250					-250
6.	+1,500	+2,000							+3,500		
7.	-1,700										-600 -900 -200
8.	-250					-250					

TRANSACTION 9. RECEIPT OF CASH ON ACCOUNT Softbyte Inc.
receives \$600 in cash from customers who had been billed for services
(in Transaction 6).

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200
8.	-250				-250				
9.	+600	-600							

TRANSACTION 10. WITHDRAWAL OF CASH BY OWNER Ray Neal withdraws \$1,300 in cash in cash from the business for his personal use.

Illustration 1-8

Trans- action	Assets				= Liabilities +	Owner's Equity			
	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200
8.	-250				-250				
9.	+600	-600							
10.	-1,300						-1,300		
\$18,050				\$18,050				LO 4	

Summary of Transactions

1. Each transaction is analyzed in terms of its effect on:
 - a. The three components of the basic accounting equation.
 - b. Specific of items within each component.
2. The two sides of the equation must always be equal.

Transactions made by Virmari & Co., a public accounting firm, for the month of August are shown below. Prepare a tabular analysis which shows the effects of these transactions on the expanded accounting equation, similar to that shown in Illustration 1-8.

1. The owner invested \$25,000 cash in the business.
2. The company purchased \$7,000 of office equipment on credit.
3. The company received \$8,000 cash in exchange for services performed.
4. The company paid \$850 for this month's rent.
5. The owner withdrew \$1,000 cash for personal use.

1. The owner invested \$25,000 cash in the business.

Trans- action	Assets		=	Liabilities +		Owner's Equity			
	Cash	+ Equipment		Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+25,000				+25,000				

2. The company purchased \$7,000 of office equipment on credit.

Trans- action	Assets		=	Liabilities +		Owner's Equity			
	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+25,000				+25,000				
2.		+7,000		+7,000					

Why \$7,000 is recorded in Accounts Payable

Because the company did NOT pay cash for the equipment.

The transaction says:

"The company purchased \$7,000 of office equipment on credit."

3. The company received \$8,000 cash in exchange for services performed.

Trans- action	Assets		=	Liabilities +		Owner's Equity			
	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+25,000				+25,000				
2.		+7,000		+7,000					
3.	+8,000						+8,000		

4. The company paid \$850 for this month's rent.

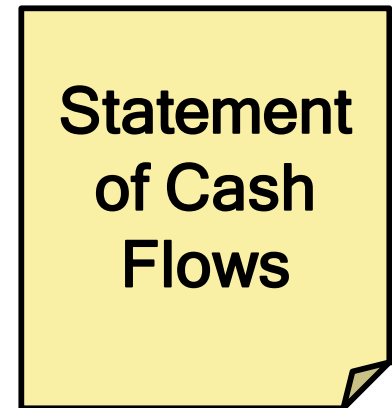
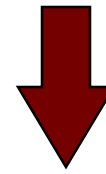
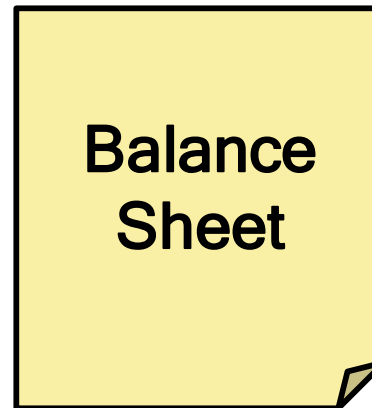
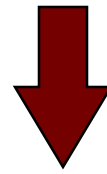
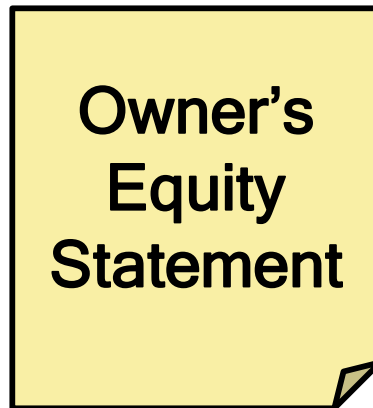
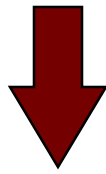
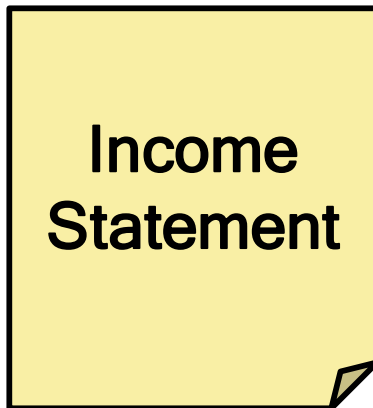
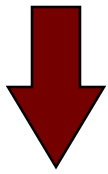
Trans- action	Assets		=	Liabilities +		Owner's Equity			
	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+25,000				+25,000				
2.		+7,000		+7,000					
3.	+8,000						+8,000		
4.	-850								-850

5. The owner withdrew \$1,000 cash for personal use.

Trans- action	Assets		=	Liabilities +		Owner's Equity			
	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.	
1.	+25,000				+25,000				
2.		+7,000		+7,000					
3.	+8,000						+8,000		
4.	-850								-850
5.	-1,000					-1,000			
	\$31,150	+ \$7,000	=	\$7,000	+ \$25,000	+ \$1,000	+ \$8,000	- \$850	
	\$38,150			\$38,150					

Describe the four financial statements and how they are prepared.

Companies prepare four financial statements :

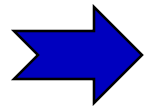


Financial Statements

Question

Net income will result during a time period when:

- a. assets exceed liabilities.
- b. assets exceed revenues.
- c. expenses exceed revenues.
- d. revenues exceed expenses.



Financial Statements

Net income is needed to determine the ending balance in owner's equity.

SOFTBYTE Income Statement For the Month Ended September 30, 2017

Revenues		
Service revenue		\$ 4,700
Expenses		
Salaries and wages expense	\$900	
Rent expense	600	
Advertising expense	250	
Utilities expense	<u>200</u>	
Total expenses		<u>1,950</u>
Net income		<u><u>\$ 2,750</u></u>

Illustration 1-9
Financial statements and
their interrelationships

SOFTBYTE Owner's Equity Statement For the Month Ended September 30, 2017

Owner's capital, September 1		\$ -0-
Add: Investments	\$15,000	
Net income	<u><u>2,750</u></u>	<u>17,750</u>
		17,750
Less: Drawings		<u>1,300</u>
Owner's capital, September 30		<u><u>\$16,450</u></u>

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SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		\$ -0-
Add: Investments	\$15,000	
Net income	<u>2,750</u>	<u>17,750</u>
		17,750
Less: Drawings		<u>1,300</u>
Owner's capital, September 30		<u>\$16,450</u>

SOFTBYTE
Balance Sheet
September 30, 2017

<u>Assets</u>	
— Cash	\$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	<u>7,000</u>
Total assets	<u>\$ 18,050</u>
<u>Liabilities and Owner's Equity</u>	
Liabilities	
Accounts payable	\$ 1,600
Owner's equity	
Owner's capital	<u>16,450</u>
Total liabilities and owner's equity	<u>\$ 18,050</u>

The ending balance in owner's equity is needed in preparing the balance sheet.

Illustration 1-9
Financial statements and their interrelationships

Financial Statements

Balance sheet and income statement are needed to prepare statement of cash flows.

Illustration 1-9
Financial statements and their interrelationships

SOFTBYTE Balance Sheet September 30, 2017		
<u>Assets</u>		
Cash		\$ 8,050
Accounts receivable		1,400
Supplies		1,600
Equipment		7,000
Total assets		<u>\$ 18,050</u>
<u>Liabilities and Owner's Equity</u>		
Liabilities		
Accounts payable	\$ 1,600	
Owner's equity		
Owner's capital		16,450
Total liabilities and owner's equity		<u>\$ 18,050</u>
SOFTBYTE Statement of Cash Flows For the Month Ended September 30, 2017		
Cash flows from operating activities		
Cash receipts from revenues	\$ 3,300	
Cash payments for expenses	(1,950)	
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	\$15,000	
Drawings by owner	(1,300)	
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		<u>\$ 8,050</u>

Income Statement

- ◆ Reports the revenues and expenses for a specific period of time.
- ◆ Lists revenues first, followed by expenses.
- ◆ Shows net income (or net loss).
- ◆ Does not include investment and withdrawal transactions between the owner and the business in measuring net income.

Alternative Terminology

The income statement is sometimes referred to as the *statement of operations*, *earnings statement*, or *profit and loss statement*.

Owner's Equity Statement

- ◆ Reports the changes in owner's equity for a specific period of time.
- ◆ The time period is the same as that covered by the income statement.

Balance Sheet

- ◆ Reports the assets, liabilities, and owner's equity at a specific date.
- ◆ Lists assets at the top, followed by liabilities and owner's equity.
- ◆ Total assets must equal total liabilities and owner's equity.
- ◆ Is a snapshot of the company's financial condition at a specific moment in time (usually the month-end or year-end).

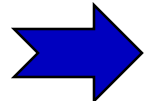
Statement of Cash Flows

- ◆ Information on the cash receipts and payments for a specific period of time.
- ◆ Answers the following:
 - ▶ Where did cash come from?
 - ▶ What was cash used for?
 - ▶ What was the change in the cash balance?

Financial Statements

Question

Which of the following financial statements is prepared as of a specific date?

- 
- a. Balance sheet.
 - b. Income statement.
 - c. Owner's equity statement.
 - d. Statement of cash flows.

People, Planet, and Profit Insight



Beyond Financial Statements

Should we expand our financial statements beyond the income statement, retained earnings statement, balance sheet, and state-

ment of cash flows? Some believe we should take into account ecological and social performance, in addition to financial results, in evaluating a company. The argument is that a company's responsibility lies with anyone who is influenced by its actions. In other words, a company should

be interested in benefiting many different parties, instead of only maximizing stockholders' interests.

A socially responsible business does not exploit or endanger any group of individuals. It follows fair trade practices, provides safe environments for workers, and bears responsibility for environmental damage. Granted, measurement of these factors is difficult. How to report this information is also controversial. But, many interesting and useful efforts are underway. Throughout this textbook, we provide additional insights into how companies are attempting to meet the challenge of measuring and reporting their contributions to society, as well as their financial results, to stockholders.

Why might a company's stockholders be interested in its environmental and social performance? (Go to **WileyPLUS** for this answer and additional questions)

Presented below is selected information related to Flanagan Company at December 31, 2017. Flanagan reports financial information monthly.

Equipment	\$10,000	Utilities Expense	\$ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

- (a) Determine the total assets of at December 31, 2017.
- (b) Determine the net income reported for December 2017.
- (c) Determine the owner's equity at December 31, 2017.

Presented below is selected information related to Flanagan Company at December 31, 2017. Flanagan reports financial information monthly.

Equipment	\$10,000	Utilities Expense	\$ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

(a) Determine the total assets of at December 31, 2017.

The total assets are \$27,000, comprised of

- Cash \$8,000,
- Accounts Receivable \$9,000, and
- Equipment \$10,000.

Presented below is selected information related to Flanagan Company at December 31, 2017. Flanagan reports financial information monthly.

Equipment	\$10,000	Utilities Expense	\$ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

(b) Determine the net income reported for December 2017.

Revenues		
Service revenue		\$36,000
Expenses		
Rent expense	\$11,000	
Salaries and wages expense	7,000	
Utilities expense	4,000	
		<u>22,000</u>
Total expenses		
		<u>\$14,000</u>
Net income		

Presented below is selected information related to Flanagan Company at December 31, 2017. Flanagan reports financial information monthly.

Equipment	\$10,000	Utilities Expense	\$ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

(c) Determine the owner's equity at December 31, 2017.

Total assets [as computed in (a)]		\$27,000
Less: Liabilities		
Notes payable	\$16,500	
Accounts payable	<u>2,000</u>	<u>18,500</u>
Owner's equity		<u><u>\$ 8,500</u></u>

APPENDIX 1A: Explain the career opportunities in accounting.

Public Accounting

Careers in auditing, taxation, and management consulting serving the general public.

Private Accounting

Careers in industry working in cost accounting, budgeting, accounting information systems, and taxation.

Governmental Accounting

Careers with the IRS, the FBI, the SEC, public colleges and universities, and in state and local governments.

Forensic Accounting

Uses accounting, auditing, and investigative skills to conduct investigations into theft and fraud.